

Volume trend. Volume trends downward most often, but 60% isn't exactly a robust endorsement. Don't discard a chart pattern because it has an atypical volume trend. As we see in the next item, the performance difference isn't worth worrying about.

Rising/Falling volume. Patterns with falling volume perform slightly better than do those with rising volume.

Breakout day volume. Does heavy breakout volume suggest better performance? Not for these chart patterns. I found no performance difference between light and heavy breakout day volume.

[Table 28.7](#) shows how often price reaches a stop location. I split the pattern in half and tabulated how often price returned to various locations on the way to the ultimate high.

For example, if you place a stop-loss order at the bottom of the pattern, it'll trigger 3% of the time. That's a low hit rate, which is good, but the potential loss of having the stop at pattern's bottom could cost you a bundle if it triggers.

When deciding where to place a stop, measure the potential loss and convert it to a percentage of the stock's price. If the percentage is too high (some say 8% or less is good), then look elsewhere for a lower risk trade.

[Table 28.8](#) shows the performance over three decades.

Performance over time. The 2000s, without counting the two bear markets, were the best performing decade. The worst performing decade was also the most recent, the 2010s. That's troubling. Does it mean performance will continue to deteriorate? Time will answer that so don't change the channel.

Failures over time. Notice how failure rates have increased each decade. The failure rate in the 2010s was four times what it was in the 1990s. That's scary, especially if the trend continues.